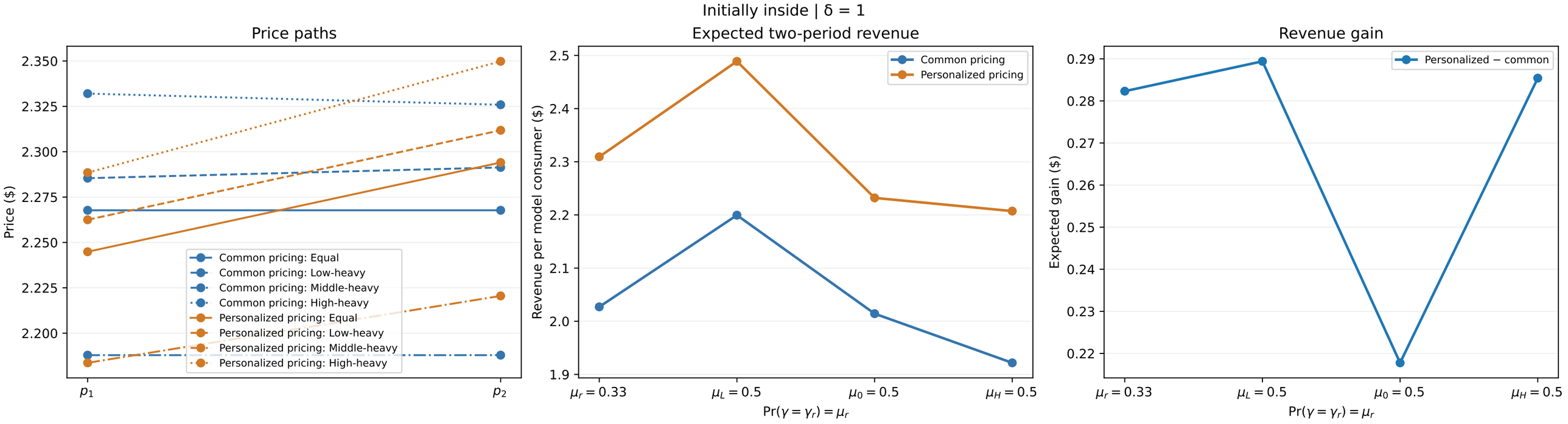
Initially inside | δ = 1
Price paths
Price ($)
2.350
2.325
2.300
2.275
2.250
2.225
2.200
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
2.5
2.4
2.3
2.2
2.1
2.0
1.9
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.29
0.28
0.27
0.26
0.25
0.24
0.23
0.22
Personalized − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$